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THE UPENDING OF India's cement market in May 2022 could have been foretold in November 2021 when Switzerland's Holcim announced its 'Strategy 2025'. For Holcim, the world's largest cement producer then, there seemed nothing unusual in the catchline 'Accelerating Green Growth' since making cement is a dirty business carbon-wise, and green initiatives are welcome.

But Holcim had figured that its India business, which it created with a bang in 2005 by buying Ambuja Cements and ACC, would not fit into its future of becoming a leader in manufacturing low-carbon cement. Cement is the key element in concrete, the second-most widely used material in its production after water.

Holcim's 2022 announcement that it was selling its India business to the Adani Group for \$10.5 billion was another Big Bang. It created a cement giant out of a nobody in the business: Adani had no cement capacity, although it was a conglomerate spanning ports, power, airports, edible oil, mining and natural gas.

Since its Indian gambit, which added to monopoly troubles spawned after it acquired France's Lafarge, Holcim had been slow in adding or expanding capacity even as feisty competitors moved ahead. By 2022, Holcim was a distant No. 2 with half the installed capacity of market leader Aditya Birla Group's Ul-

UltraTech Cement

▶ EXISTING CAPACITY	155 mtpa
▶ TARGET	200 mtpa
▶ CAPEX OUTLAY	₹32,400 crore*
▶ PRESENCE	Pan-India
▶ REVENUE FOR FY24	₹69,810 crore
▶ NET PROFIT FOR FY24	₹7,005 crore
▶ STRATEGY	Capitalise on a strong brand and grow through an organic and inorganic strategy. A sound understanding of the commodity business will stand it in good stead. A foray into paints will complement the existing cement business

NOTE *TO INCREASE GRINDING CAPACITY BY 42.7 MTPA BY FY27



K.C. JHANWAR
MANAGING DIRECTOR,
ULTRATECH CEMENT

“There is a sharp focus on our supply chain management, specifically logistics operations. We must continue to optimise costs and ensure improved customer response time”

SOURCE COMPANY ANNOUNCEMENTS, ANNUAL REPORT, ICRA